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L&G takes on £2.45bn Royal Mail DC scheme in biggest master trust transfer to date

Completed transition sees 100,000 scheme members' savings move into L&G Mastertrust



Alex Levy

27 October 2026 • 2 min read

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Image: The appointment of L&G to take on Royal Mail's closed DC scheme represents the biggest UK DC master trust transfer to date (iStock.com/georgeclerk)

L&G has confirmed the transfer of £2.45bn in assets and some 100,000 members from the Royal Mail Defined Contribution Plan (RMDCP) to the L&G Mastertrust.

The transfer represents the largest completed transition into a UK defined contribution (DC) master trust to date. L&G said it will combine operational expertise, member engagement and governance capabilities to support members in meeting their retirement needs.

The RMDCP had been administered by Scottish Widows throughout its lifetime and trustees chose L&G for its "leading member experience and administration offering, investment proposition, value for money and its ability to deliver large-scale scheme transitions".

L&G head of UK DC distribution Jayesh Patel said: "The appointment reflects the trust our clients place in our ability to deliver transitions of this scale, while providing strong value for money and helping members achieve better long-term retirement outcomes."

The plan's default investment strategy will be L&G's Lifetime Advantage Funds, including a 15% target allocation to private market investments during the growth phase.

This fund reached £30bn in assets under management earlier this year, which the provider said reflected strong client demand for strategies combining public and private market exposure.

L&G currently has £54.3bn in assets under administration in its master trust, having taken on more than 140 workplace pension schemes since 2020.

RMDCP trustee chair Elizabeth Hartree (of Law Debenture) said: "For both the trustees and Royal Mail, we wanted a new home which was well suited to our membership and could readily take on a large population and significant assets. It was clear that L&G was that home.

"Throughout the process, our priority has been to provide a seamless experience for members while enhancing the pension proposition available to them."

The plan began winding up in March 2026, with L&G announced as the appointed master trust and assets transferring over from July.

The RMDCP was closed to new entrants in October 2024 following the launch of the Royal Mail Collective Pension Plan (RMCPP), the UK's first collective DC pension scheme.

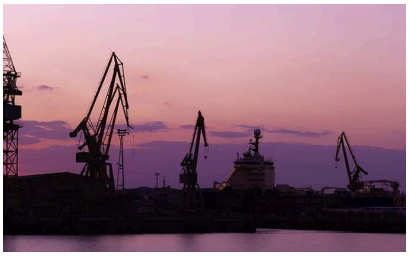
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